FormFactor, Inc.

Full investment research | Model assumptions and source evidence

1amInvesting | Full company research | Framework 8.0

FormFactor

FORM | NASDAQ | Evidence update 2026-10-12 | Operating model 2026-10-07

Q4 2027 model ceiling: USD 92.05

Analytical Base 45/60 = 75 | Advanced wafer and optical test interfaces

20 x forward-four-quarter normalized operating profit divided by diluted shares at valuation quarter

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: USD 141.30 on 2026-10-06. Model diluted shares at Q3 2026: 79.700m. Indicative diluted capitalization: USD 11,261.6m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	369.1	20x	80.200	92.05

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. This retained FORM model weights the bounded operating-profit deltas once, sums the valuation quarter and next three quarters, multiplies by 20 and divides by that quarter's diluted shares. It contains no separate net-cash addition, transaction-financing credit or newly selected dilution input. The operating-profit and share conventions remain unchanged.

October 12, 2026: Teradyne collaboration and an equity-investment agreement

The active Q4 2027 ceiling remains USD92.05077306733165. The owner-authorized 20x forward-four-quarter normalized operating-profit method, quarterly operating forecasts, diluted-share schedule, and protected Excel and analytical Bases 75 are retained. This update adds verified transaction evidence and a dilution watch. It does not repeat the existing GPU, CPO or Texas economics.

FormFactor and Teradyne's joint issuer release, published October 12 at 16:01 EDT, announces collaboration on test architectures, probe/interface solutions and production readiness across HPC, advanced packaging, HBM and silicon photonics. Teradyne has agreed to purchase FormFactor common shares through a $300M strategic equity investment, subject to closing conditions and regulatory approvals. The announcement identifies no share count, transaction price,

primary-versus-secondary allocation, fees or firm closing date. An agreement is not completed funding, a customer purchase order or recognized product revenue. [FORM-19]

Closing probability and conditional outcome. ASTRA assigns 85% probability of closing by Q1 2027 as a labeled judgment based on the signed agreement and customary conditions. Q1 2027 is an analytical timing assumption, not an issuer-specified date. Conditional funding is up to $300M in aggregate, but proceeds attributable to FormFactor depend on who sells the shares. A wholly secondary purchase issues no new shares and sends no issuance proceeds to FormFactor. The probability does not establish a primary allocation, price or realized operating profit.

Bounded dilution attempt. Let the primary fraction be x between 0 and 1. At an illustrative price range of $113.04-169.56, new shares would be x times 1.769285209-2.653927813M. The price range is 80-120% of the artifact's dated October 6 $141.30 quote; it is neither a live quote nor a disclosed transaction price. If all $300M buys newly issued shares, that range is 1.769-2.654M new shares; if all shares are secondary, the number is zero. Mixed structures fall between those endpoints. Regulatory timing, placement discounts, fees and allocation remain unprovided, so this bound is recorded without selecting an invented point share count or silently replacing the current 80.2M Q4 2027 denominator. Reconcile the closing filing and actual new shares before applying any diluted-share change.

The equity payment is not sales or operating profit. Under the existing 20x OP/share method, no separate cash addition is authorized. Primary proceeds could support capacity, but accepted productive tools, qualification, customer invoices, production costs and dilution must be bridged together. Secondary proceeds do not fund FormFactor's operations. No financing dollar is multiplied directly into product revenue.

Incremental operating overlap and cost bridge. Existing FORM-GPU-SHARE remains 35%, with a bounded 60M/70M incremental sales case in 2027/28 at 60% GP less 10% support/application costs. Existing FORM-CPO-ACCEL remains 40%, with 20M/35M incremental sales at 52% GP less 12% service/application costs. Texas qualification, ramp costs and the 20% delay branch remain intact. The collaboration supports these existing customer and qualification pathways; it discloses no separately paid units or margins beyond them.

A bounded invoice diagnostic at the inherited margins gives $10M truly additional GPU-card sales -> $6M GP less $1M variable expense -> $5M OP; $10M truly additional CPO-system sales -> $5.2M GP less $1.2M expense -> $4M OP. These are model diagnostics, not collaboration orders or a new sales forecast. Any new engineering work, yield loss, depreciation, customer incentives and replacement of existing interfaces would reduce the residual. No accepted incremental unit count, ASP, revenue split or cost obligation is supplied. The active additional sales/COGS/opex/OP contribution is therefore zero after the existing programme overlap and this bounded attempt, rather than because official confirmation is lacking. The signed collaboration itself is confirmed.

The open interoperable ecosystem described in the issuer release does not establish exclusivity, a supplier monopoly or guaranteed customer conversion. The transaction improves strategic context while leaving the separate operating assumptions exposed to the same qualification and capacity risks. Revisit the executed investment filing, primary allocation, price/share count, closing date, uses of funds, paid joint design-ins, acceptance schedule, incremental support expense and net customer substitution.

Evidence or conditional item	Scope and treatment
Confirmed agreement	$300M strategic equity purchase, subject to closing conditions
ASTRA closing judgment	85% by Q1 2027; timing is an assumption
Price diagnostic	$113.04-169.56, based on dated October 6 $141.30, not deal pricing
All-primary share bound	1.769285209-2.653927813M new shares; mixed allocation scales by x

Evidence or conditional item	Scope and treatment
All-secondary outcome	Zero newly issued shares; no company issuance proceeds
Operating overlap	Existing 35% GPU and 40% CPO acceleration cases retained
New active operating contribution	Zero sales, COGS, opex and OP after bounded residual attempt
Active method and scores	20x F4Q normalized OP; share path and both Bases 75 retained

Thesis

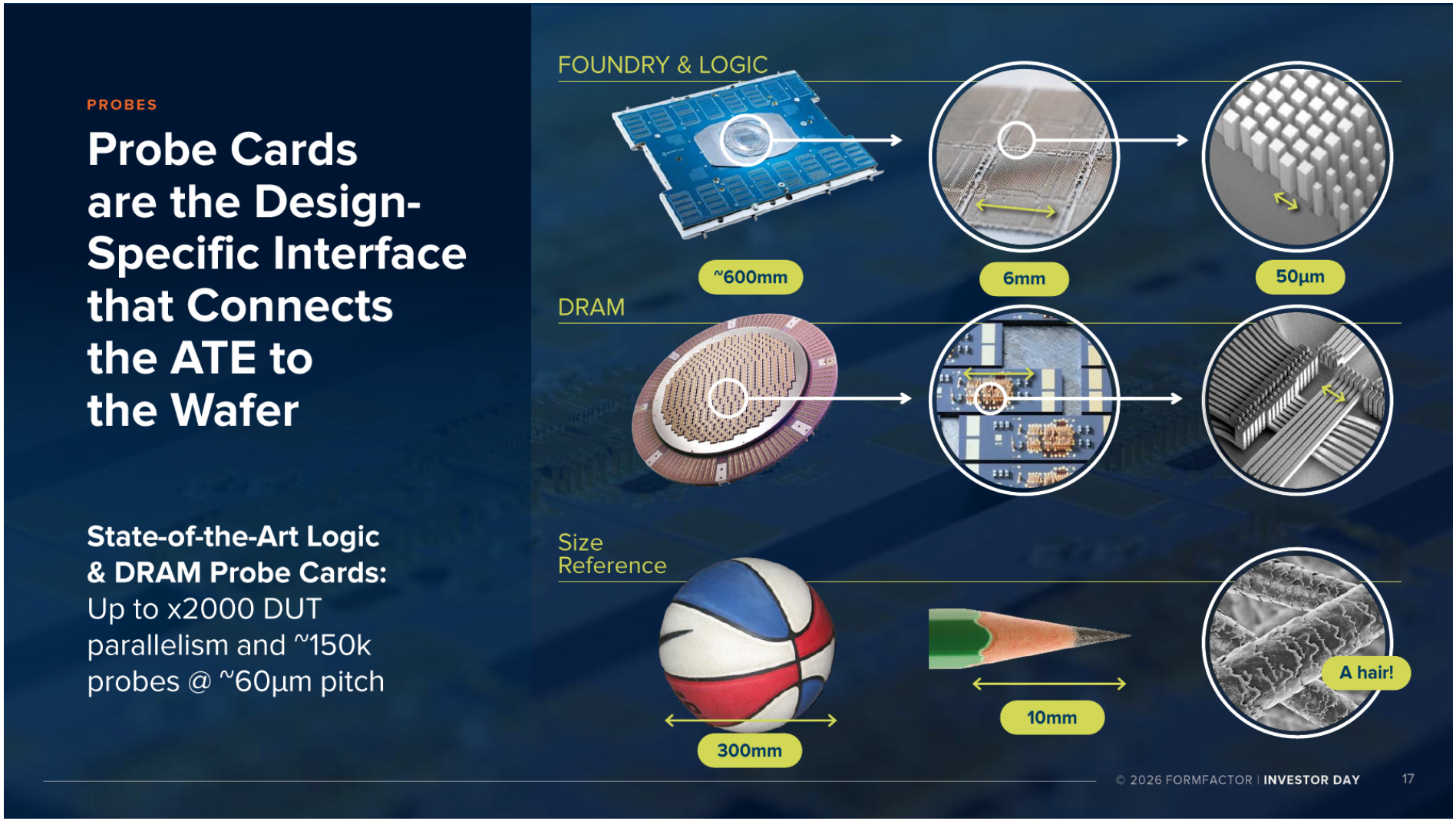
Research date: October 7, 2026. Analytical Base: 75 (45/60). The existing FORM artifact is updated research, not a brand-new security. The owner explicitly authorized a 20× forward-four-quarter operating-profit method on October 7, replacing the older two-stage calculation.

FormFactor has moved beyond an unqualified GPU opportunity. The July call described qualified production shipments beginning in Q3, while HBM stack test and optical wafer test were already producing revenue. The financial improvement is meaningful, but its quality matters: the sustainable gross-margin baseline is approximately 51%, below the reported 53.3% Q2 non-GAAP margin and the 54% Q3 guide. Those higher figures contain temporary benefits. A new factory can add profitable output; it does not make all announced floor space immediately saleable.

What the company supplies

A probe card is a design-specific electrical interface between automated test equipment and a wafer or completed stack. Reliable contact, low resistance, signal integrity, thermal management and repeated mechanical cycling determine whether a customer can test an expensive device without damaging it or accepting faulty parts. FormFactor captures the card and associated services. It does not capture the whole tester, wafer fab, HBM package or GPU selling price.

The physical probe-card interface



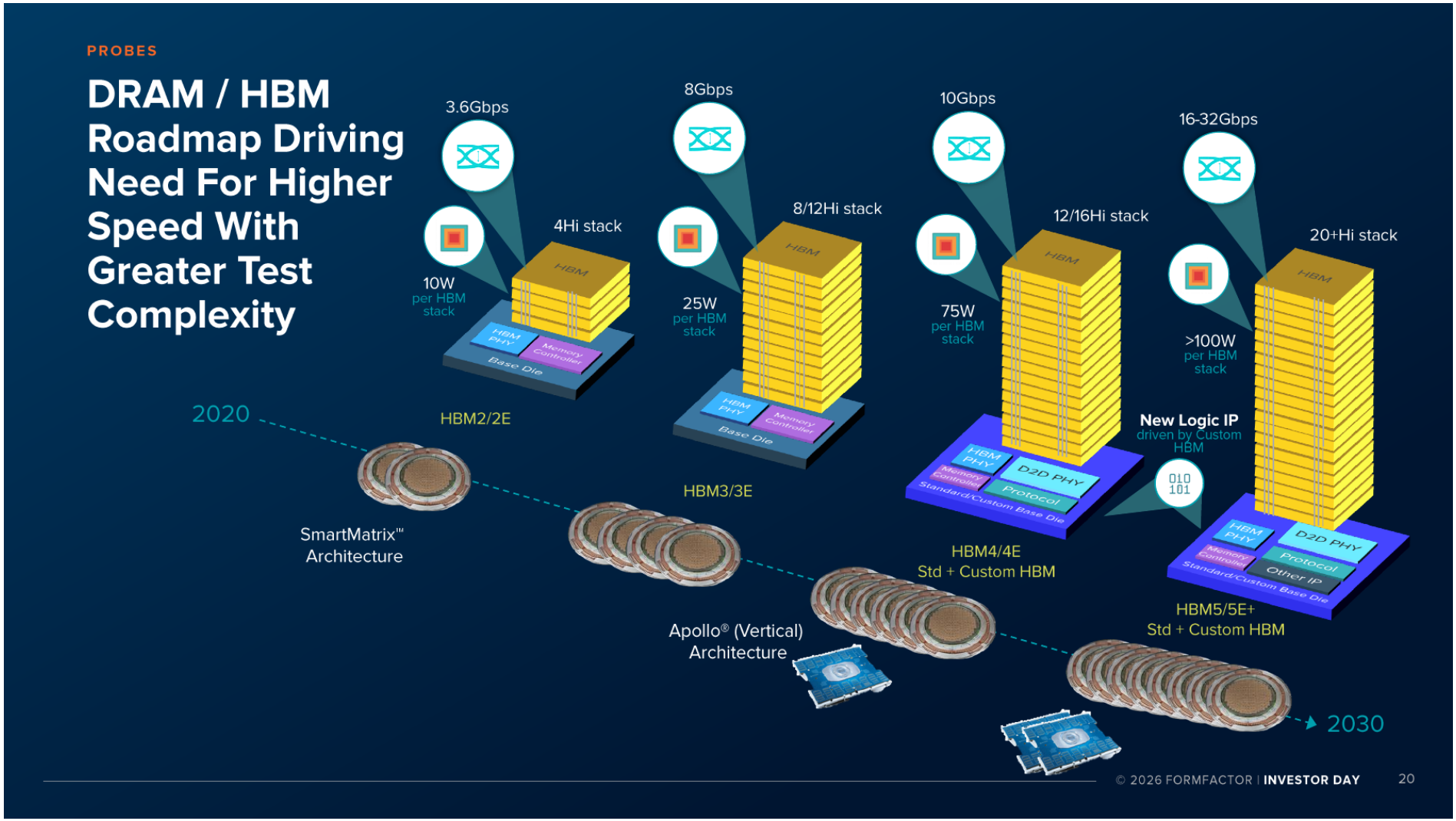
The physical probe-card interface

Apollo addresses high-power logic and networking devices. SmartMatrix provides high parallelism in HBM test. Systems contains wafer probers, thermal and cryogenic equipment; Triton brings optical/electrical test to silicon-photonics production. These are distinct wallets. CPU/GPU testing, HBM testing and optical testing can occur around the same final accelerator, so adding the entire accelerator TAM to each would count the same system repeatedly.

HBM: isolate the insertion that earns the premium

FormFactor’s strongest management-described position is high-speed completed-stack test before the HBM enters an expensive multi-die package. Core-die wafer sort remains a more competitive insertion. The May roadmap shows higher speed, power and stack heights; it does not establish an exponential revenue law. Demand depends on customer design releases, wafer starts, contactors per program, test duration, parallelism, service life and qualified share. Better parallelism can reduce tool requirements even while chip volumes rise.

Issuer HBM roadmap



Issuer HBM roadmap

Q2 DRAM revenue was $85.0M. Management said about two-thirds was HBM, implying approximately $56.7M, an arithmetic estimate rather than a separately audited segment. Two HBM customers were adopting SmartMatrix. Q3 DRAM revenue was expected to be roughly flat but rotate toward DDR as memory producers changed profitable wafer-start mix. This counter-example is important: stronger memory pricing need not mean a higher HBM proportion in FormFactor’s next quarter.

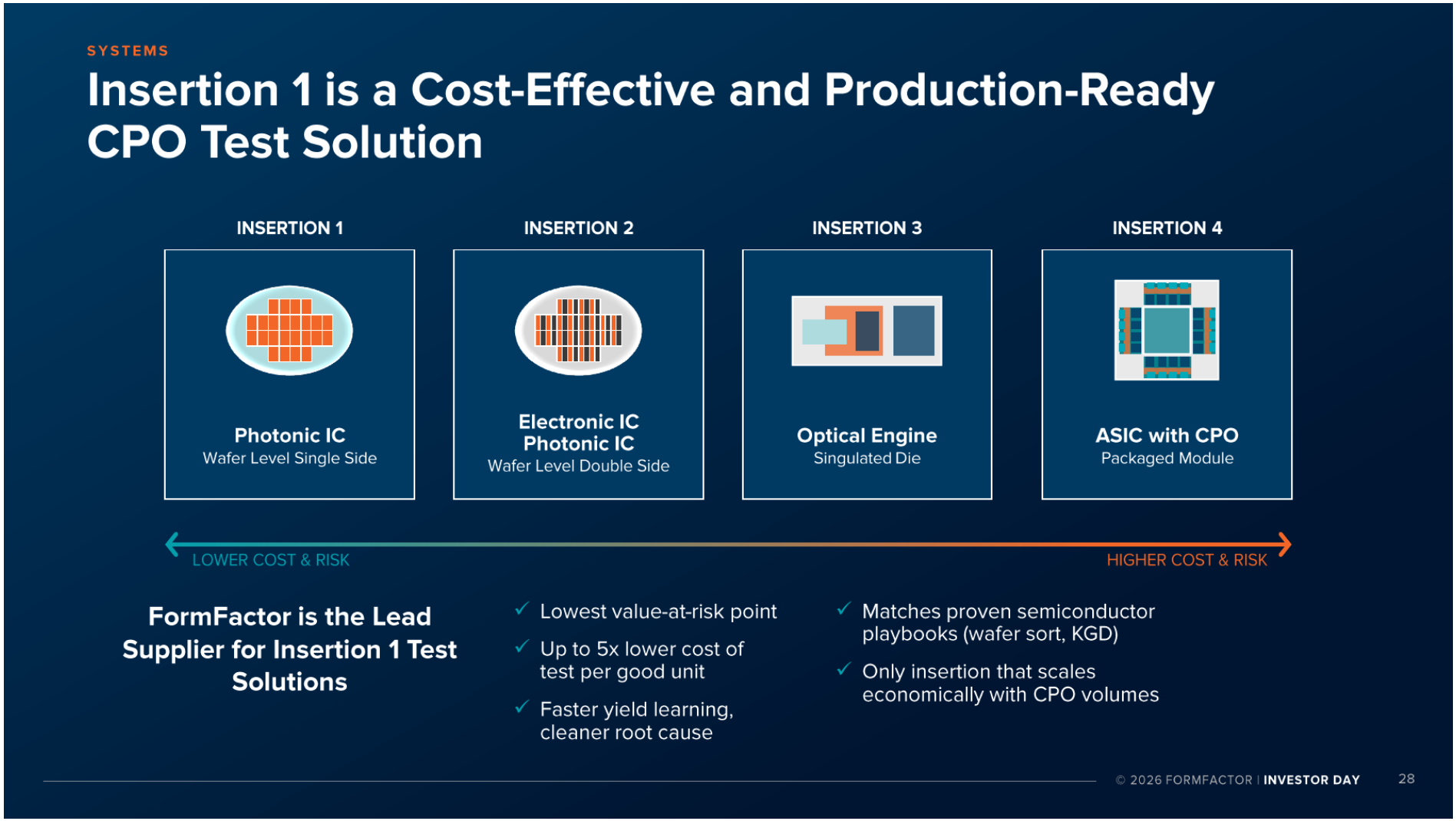
GPU and ASIC capture

The Q2 customer table reports SK hynix at 24.3% and TSMC at 11.0%. NVIDIA had been 10.2% in Q1 and was below 10% in Q2. The PDF’s extracted header order is misleading; visual inspection establishes that columns run newest to oldest. The SEC filing confirms the same values. Revenue follows the party issuing the purchase order, so a NVIDIA program can be billed through TSMC. The customer rows must not be added as independent end-demand pools.

The reference F&L path already includes existing networking and a gradual GPU/custom-ASIC ramp. The Oct2 Deutsche Bank channel estimate of about 20% NVIDIA probe share and a revenue endpoint exceeding $200M remains attributed evidence. It is not converted into $200M of extra revenue. A 35% branch instead adds a bounded residual $60M in2027 and $70M in2028 above that reference, at 60% incremental gross margin less 10% application, engineering and selling costs. The resulting weighted2027 OP increment is $10.5M. The incumbent supplier and limited qualified capacity remain material obstacles.

CPO: paid wafer-test economics, not optical TAM

Four test insertions



Four test insertions

Triton initially concentrates on insertion1: testing the photonic wafer before further packaging raises the value at risk. It is developed within a broader ecosystem that includes tester and prober partners. Keystone Photonics, acquired inDecember2025, is the optical-probing acquisition; Keystone Microtech, the Taiwan partner announced July28, is a different company. The latter expands local assembly/service capability while FormFactor retains proprietary probe manufacturing and IP; no publicly quantified exclusive volume or price guarantee was identified.

The model separately forecasts CPO systems revenue, starting at $10M inQ32026 and $12M inQ4. The existing >$20M2026 management expectation is therefore already represented. A 40% acceleration branch adds $20M in2027 and $35M in2028 at40% incremental OP after application/service costs. The2030 reference CPO

pool is $186M; the conditional faster case reaches $226M. That is already56.5% of management's $400M served market, a demanding share, and is not the whole $400M converted to company sales. Tool ASP, throughput, testing time and precise share are undisclosed: the pool is explicitly a bounded financial proxy.

Capacity, price and the cost of shipping good output

Farmers Branch timeline



Farmers Branch timeline

The Texas site expands capacity rather than merely replacing California. Management described its initial capacity as roughly the size of the existing California probe footprint, around60% of then-current probe-card business. That is a capacity comparison, not a promise of60% revenue growth. Qualification, installed process capability, cycle time, yield and customer product mix govern saleable output. The modeled ramp carries $18M of2027 manufacturing inefficiency costs, and full accretion is deferred until2028. A20% additional-delay branch removes $40M of2027 revenue plus $4M of incremental costs, separate from the existing ramp reserve.

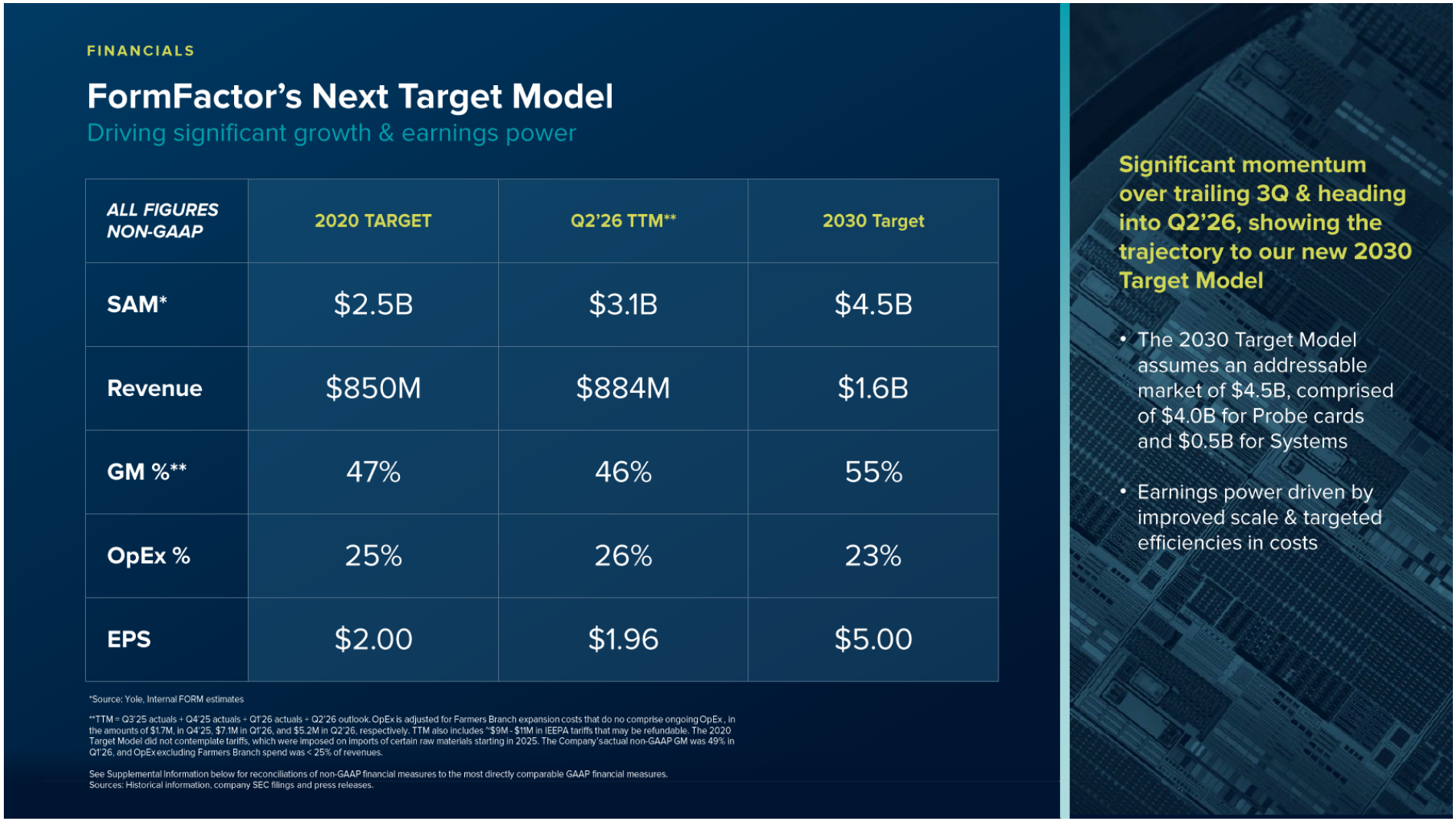
Scarcity could improve terms on newly quoted high-performance orders. Rule16b is represented by a25% probability of a2% premium on35% of reference F&L and DRAM sales from2027, with15% of incremental revenue reserved in cost of sales and5% in support/selling expense. It does not reprice fixed backlog. This small branch is tempered by management’s explicit statement that pricing was not the major driver of earlier margin gains. Yield/cycle-time savings remain in the reference margin path and are not added again to this price branch.

Financial calibration

FY2025 revenue was $784.993M and GAAP OP $57.070M. Q22026 revenue was $258.242M, with $209.695M probe cards and $48.547M systems. GAAP OP was $57.799M, compared with $71.965M non-GAAP OP. The difference included $8.590M of stock compensation, $0.941M of intangible amortization, $4.493M of restructuring and $0.142M of other costs. Startup costs remained in both measures.

The operating forecast uses recurring fully costed normalized OP. Part margins and cash R&D/SG&A are before stock compensation; recurring SBC and acquired-intangible amortization are deducted separately. Depreciation is already inside cost proxies. Startup/manufacturing ramp charges appear once. The Q3 reference excludes approximately3points of temporary tariff refunds rather than carrying those benefits into later years. The vendor transcript’s '$79M' refund phrase cannot reconcile to a3point margin impact on $270M sales; the model uses the percentage bridge, approximately$8.1M, and flags the transcription issue.

Management target is a calibration, not guidance



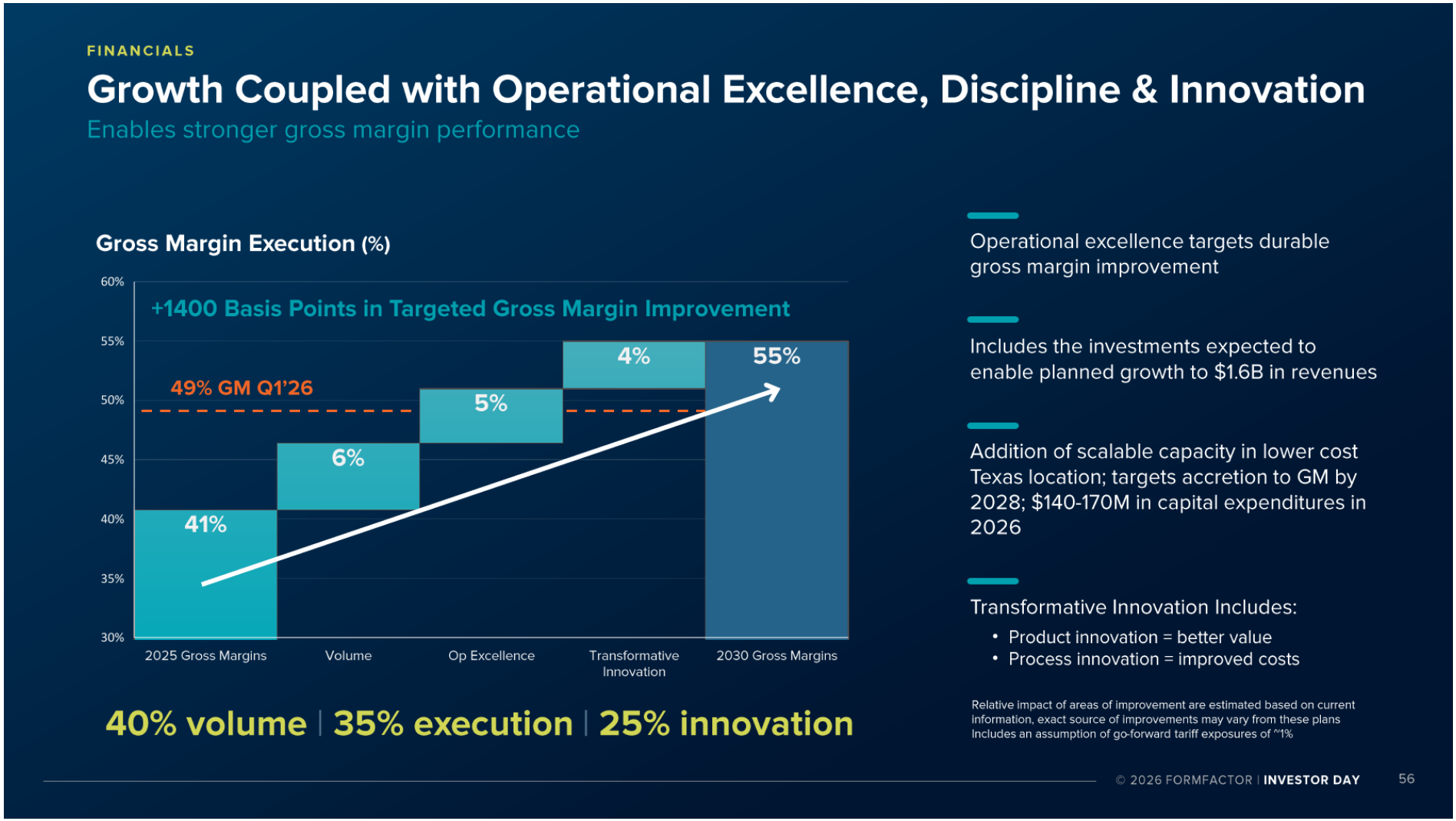
Management target is a calibration, not guidance

Calendar year	Reference revenue, $M	Probability-weighted revenue, $M	Normalized OP, $M
2027	1,207.0	1,229.7	296.7
2028	1,370.0	1,406.4	389.2
2029	1,526.0	1,565.1	457.5

Calendar year	Reference revenue, $M	Probability-weighted revenue, $M	Normalized OP, $M
2030	1,686.0	1,718.2	515.1

The2030 active path exceeds management’s $1.6B target revenue by7.4%, while fully costed OP is near its rounded $510M non-GAAP target despite charging SBC. This requires sustained execution; it is not a conservative consequence of guidance. The nearer path is grounded in Q3 revenue guidance of$270M±$10M and costs; later quarterly allocations are analytical assumptions with progressively lower confidence. Management’s total SAM is $4.5B in2030, split $4.0B probe cards and $0.5B systems. It is a scope check, not a direct revenue equation.

Issuer margin bridge



Issuer margin bridge

Treasury, capital allocation and shares

At June27, unrestricted cash and marketable securities totaled $345.640M; restricted cash was another$3.386M. Debt was $11.644M and leases $18.268M. Assets were $1,342.480M and equity $1,111.360M. The company had $150M undrawn revolving capacity. H1 operating cash flow was $106.764M. The $140-170M2026 capacity-capex plan consumes cash before fullTexasbenefits; the conditional$24.2MTexasgrant is not assumed to be distributable cash. TheQ2call's$349Mcash/investmentfigure includes restricted balances and should not replace unrestricted cash.

Issued shares were78.120725M atJune27/July29; Q2 weighted diluted shares were79.607M. The model starts at79.7M diluted inQ3 and increases0.1Mquarterly. $70.9M buyback authorization is not an executed reduction. No split adjustment is introduced. No net-cash addition is made to the operating-profit ceiling methodology. The October 12 Teradyne agreement is a separately tracked funding/dilution event; the existing share schedule is not a forecast that every announced equity transaction is secondary.

Owner-authorized valuation

The active method is **20× forward-four-quarter normalized operating profit**, using the valuation quarter and next three quarters, divided by that quarter's diluted share assumption. At Q4 2027, the $369.124M operating-profit window and 80.2M shares produce a **$92.05 ceiling**. Revenue, operating assumptions and dilution are unchanged by this multiple decision.

The owner explicitly requested this change on October 7. It replaces the legacy two-stage 30× FY2028 / 28× FY2030 calculation. A recoverable prior copy preserves that method and its 0.52 discount-factor discrepancy; neither the old blended value nor the separate 30× diagnostic is an active target. The new result is an operating-model ceiling, not an analyst consensus target or a promised trading price.

Score, failure conditions and next checks

The analytical Base75 comes from Core17, Cycle8, TAM8, Catalysts4, Macro8, Alpha3 and Risks-3:45/60. It replaces the April artifact's Base63 because qualification, paid shipments and sustainable margin execution are now evidenced. No existing Excel override is present. The three deducted risk classes are customer/design concentration, execution/capacity/yield and trade/geopolitics. Competition is already reflected in Core and is not penalized twice.

The previous claims of a PI alignment quasi-monopoly as the single actual chokepoint, exponential test-revenue growth, and AEHR universal sole-source status are removed as unsupported. Different suppliers can control different test interfaces; there is no need to invent exclusivity to explain FormFactor's value.

The thesis weakens if Texas qualification delays persist, GPU share fails to move beyond trial-scale purchases, CPO tool demand stagnates despite optical-unit growth, or sustainable margins reverse after one-time recoveries fade. The next quarterly release should establish revenue from qualified GPU cards, CPO sales beyond the2026threshold, underlying gross margin excluding refunds, and the first productive Texas steps. Further disclosure on test time, accepted output and field reliability is more useful than another broad AI TAM slide.

Source trail

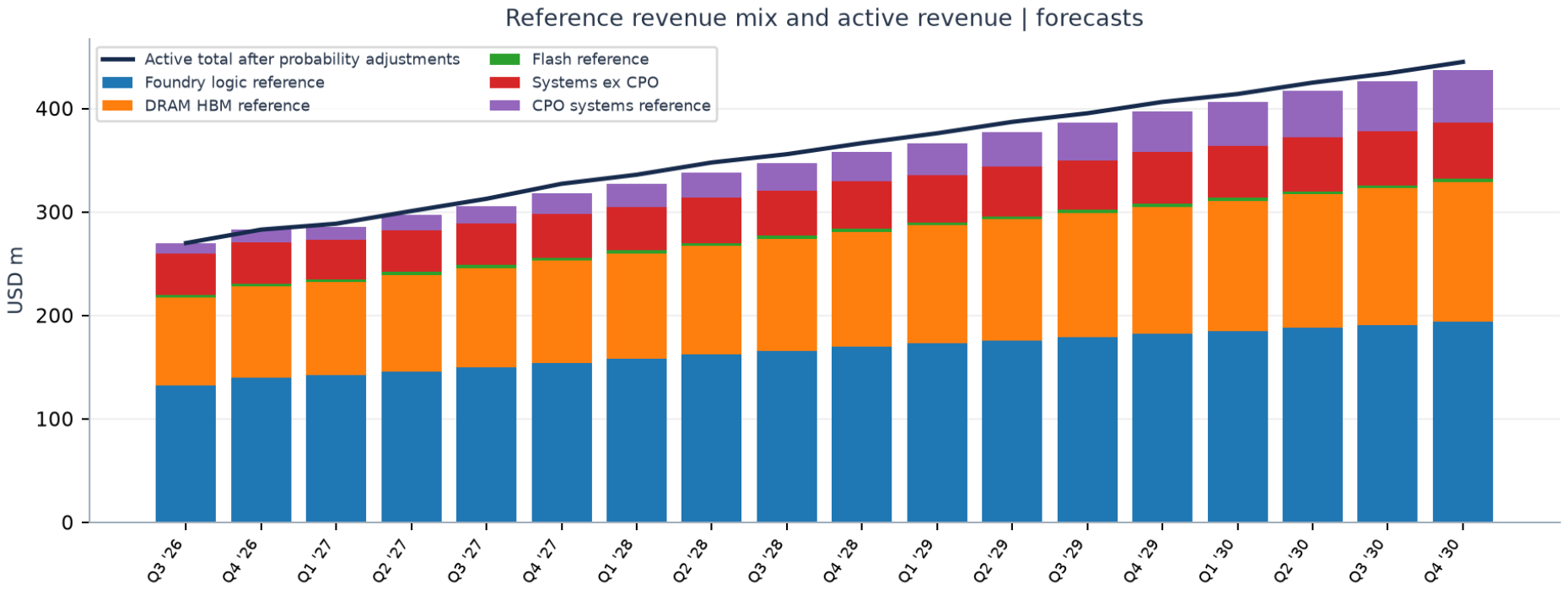
Primary issuer documents and management records are indexed with hashes in evidence.json. Key sources: May11InvestorDay, July29earnings, Q2supplement, Q2filing, FY2025annual, and July29managementcall. Call text is a vendor-hosted record of primary speakers; numerical transcription errors were checked against issuer documents.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	3	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-3	See the scoring evidence and distinct risk classes in the analysis.
Total	45/60	Rounded Base 75. Both artifact and new workbook row use this score; this is not a manual override.

Revenue and business mix

Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.



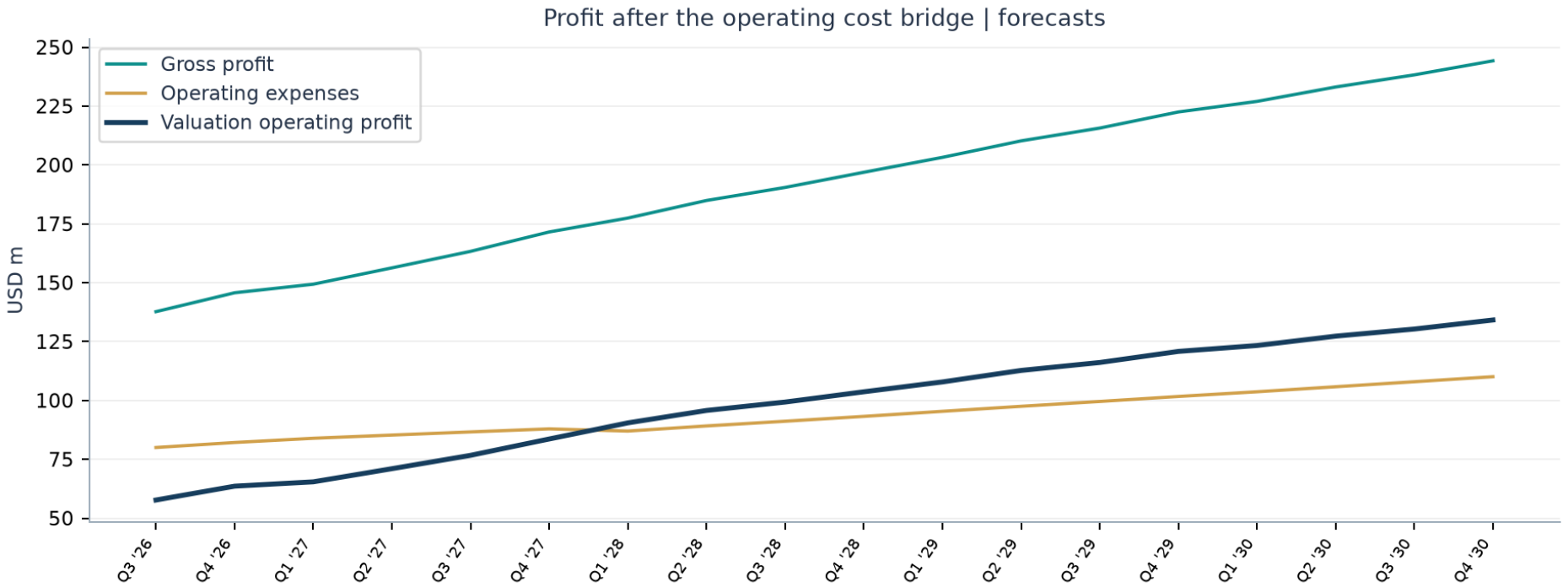
Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	270.0	0.0	270.0
Q4 2026	283.0	0.0	283.0
Q1 2027	286.0	2.7	288.7
Q2 2027	297.0	3.9	300.9
Q3 2027	306.0	6.8	312.8
Q4 2027	318.0	9.3	327.3
Q1 2028	327.0	9.1	336.1
Q2 2028	338.0	9.9	347.9
Q3 2028	347.0	8.9	355.9

Quarter	Reference revenue	Weighted net change	Active revenue
Q4 2028	358.0	8.6	366.6
Q1 2029	366.0	10.1	376.1
Q2 2029	377.0	10.1	387.1
Q3 2029	386.0	9.4	395.4
Q4 2029	397.0	9.4	406.4
Q1 2030	406.0	8.0	414.0
Q2 2030	417.0	8.1	425.1
Q3 2030	426.0	8.1	434.1
Q4 2030	437.0	8.1	445.1

Gross profit, operating expenses and earnings

Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.



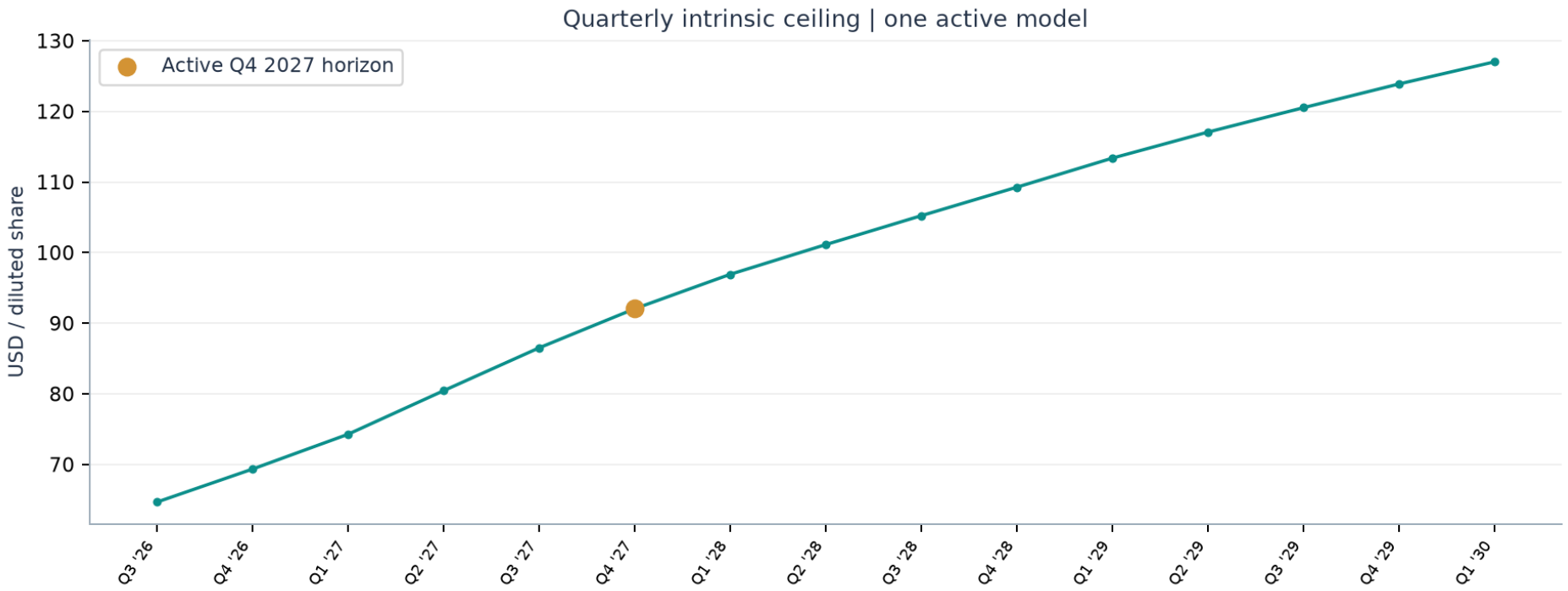
Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	270.0	137.7	80.0	57.7	21.4%
Q4 2026	283.0	145.7	82.1	63.6	22.5%
Q1 2027	288.7	149.4	83.9	65.4	22.7%
Q2 2027	300.9	156.3	85.3	71.0	23.6%
Q3 2027	312.8	163.3	86.6	76.7	24.5%
Q4 2027	327.3	171.5	87.9	83.6	25.5%
Q1 2028	336.1	177.5	87.0	90.5	26.9%
Q2 2028	347.9	184.9	89.2	95.7	27.5%
Q3 2028	355.9	190.5	91.2	99.3	27.9%

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q4 2028	366.6	196.9	93.2	103.7	28.3%
Q1 2029	376.1	203.2	95.4	107.9	28.7%
Q2 2029	387.1	210.2	97.5	112.7	29.1%
Q3 2029	395.4	215.7	99.6	116.1	29.4%
Q4 2029	406.4	222.5	101.7	120.8	29.7%
Q1 2030	414.0	227.0	103.7	123.3	29.8%
Q2 2030	425.1	233.1	105.8	127.3	29.9%
Q3 2030	434.1	238.3	107.9	130.3	30.0%
Q4 2030	445.1	244.2	110.1	134.2	30.1%

The complete ceiling path

Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.



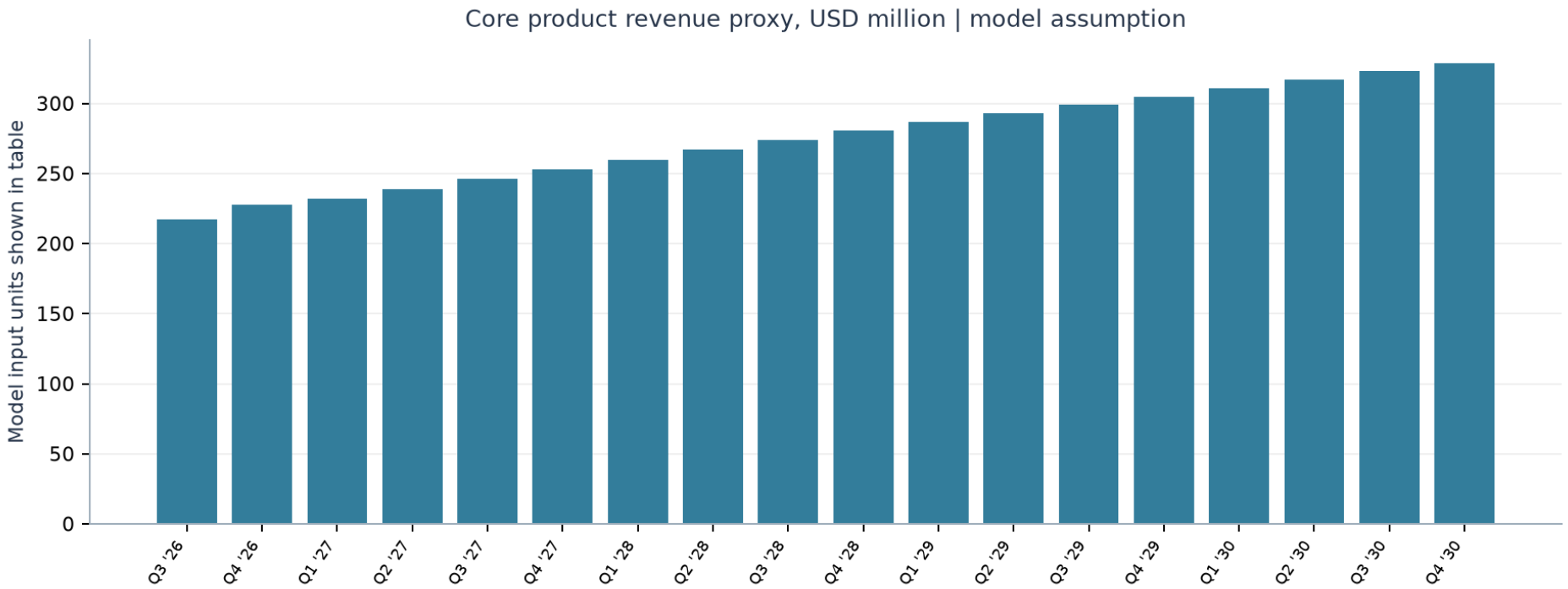
Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	257.7	20x	79.700	64.67
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	276.7	20x	79.800	69.34
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	296.7	20x	79.900	74.27
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	321.8	20x	80.000	80.44
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	346.5	20x	80.100	86.51
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	369.1	20x	80.200	92.05

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	389.2	20x	80.300	96.93
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	406.6	20x	80.400	101.13
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	423.6	20x	80.500	105.23
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	440.4	20x	80.600	109.27
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	457.5	20x	80.700	113.38
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	473.0	20x	80.800	117.07
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	487.5	20x	80.900	120.53
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	501.7	20x	81.000	123.89
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	515.1	20x	81.100	127.03

The operating constraint behind the forecast

The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Core product revenue proxy, USD million	Status
Q3 2026	217.000	Guidance-anchored normalized model
Q4 2026	228.000	ASTRA assumptions; low confidence after 2028
Q1 2027	232.000	ASTRA assumptions; low confidence after 2028
Q2 2027	239.000	ASTRA assumptions; low confidence after 2028
Q3 2027	246.000	ASTRA assumptions; low confidence after 2028
Q4 2027	253.000	ASTRA assumptions; low confidence after 2028
Q1 2028	260.000	ASTRA assumptions; low confidence after 2028
Q2 2028	267.000	ASTRA assumptions; low confidence after 2028
Q3 2028	274.000	ASTRA assumptions; low confidence after 2028

Quarter	Core product revenue proxy, USD million	Status
Q4 2028	281.000	ASTRA assumptions; low confidence after 2028
Q1 2029	287.000	ASTRA assumptions; low confidence after 2028
Q2 2029	293.000	ASTRA assumptions; low confidence after 2028
Q3 2029	299.000	ASTRA assumptions; low confidence after 2028
Q4 2029	305.000	ASTRA assumptions; low confidence after 2028
Q1 2030	311.000	ASTRA assumptions; low confidence after 2028
Q2 2030	317.000	ASTRA assumptions; low confidence after 2028
Q3 2030	323.000	ASTRA assumptions; low confidence after 2028
Q4 2030	329.000	ASTRA assumptions; low confidence after 2028

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Foundry logic reference	132.0	52.3%	69.1
Q3 2026	DRAM HBM reference	85.0	52.8%	44.9
Q3 2026	Flash reference	3.0	45.0%	1.4
Q3 2026	Systems ex CPO	40.0	44.0%	17.6
Q3 2026	CPO systems reference	10.0	48.0%	4.8
Q4 2026	Foundry logic reference	140.0	53.0%	74.2
Q4 2026	DRAM HBM reference	88.0	53.0%	46.6
Q4 2026	Flash reference	3.0	45.0%	1.4
Q4 2026	Systems ex CPO	40.0	44.2%	17.7
Q4 2026	CPO systems reference	12.0	48.5%	5.8
Q1 2027	Foundry logic reference	142.0	53.0%	75.3

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2027	DRAM HBM reference	90.0	53.0%	47.7
Q1 2027	Flash reference	3.0	45.0%	1.4
Q1 2027	Systems ex CPO	38.0	44.5%	16.9
Q1 2027	CPO systems reference	13.0	49.0%	6.4
Q2 2027	Foundry logic reference	146.0	53.2%	77.7
Q2 2027	DRAM HBM reference	93.0	53.2%	49.5
Q2 2027	Flash reference	3.0	45.0%	1.4
Q2 2027	Systems ex CPO	40.0	44.8%	17.9
Q2 2027	CPO systems reference	15.0	49.5%	7.4
Q3 2027	Foundry logic reference	150.0	53.4%	80.1
Q3 2027	DRAM HBM reference	96.0	53.4%	51.3
Q3 2027	Flash reference	3.0	45.0%	1.4
Q3 2027	Systems ex CPO	40.0	45.0%	18.0
Q3 2027	CPO systems reference	17.0	50.0%	8.5
Q4 2027	Foundry logic reference	154.0	53.6%	82.5
Q4 2027	DRAM HBM reference	99.0	53.6%	53.1
Q4 2027	Flash reference	3.0	45.0%	1.4
Q4 2027	Systems ex CPO	42.0	45.2%	19.0
Q4 2027	CPO systems reference	20.0	50.5%	10.1
Q1 2028	Foundry logic reference	158.0	54.0%	85.3
Q1 2028	DRAM HBM reference	102.0	54.0%	55.1
Q1 2028	Flash reference	3.0	45.0%	1.4
Q1 2028	Systems ex CPO	42.0	45.5%	19.1
Q1 2028	CPO systems reference	22.0	51.0%	11.2
Q2 2028	Foundry logic reference	162.0	54.4%	88.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	DRAM HBM reference	105.0	54.4%	57.1
Q2 2028	Flash reference	3.0	45.0%	1.4
Q2 2028	Systems ex CPO	44.0	45.8%	20.1
Q2 2028	CPO systems reference	24.0	51.5%	12.4
Q3 2028	Foundry logic reference	166.0	54.8%	91.0
Q3 2028	DRAM HBM reference	108.0	54.8%	59.2
Q3 2028	Flash reference	3.0	45.0%	1.4
Q3 2028	Systems ex CPO	44.0	46.0%	20.2
Q3 2028	CPO systems reference	26.0	52.0%	13.5
Q4 2028	Foundry logic reference	170.0	55.0%	93.5
Q4 2028	DRAM HBM reference	111.0	55.0%	61.1
Q4 2028	Flash reference	3.0	45.0%	1.4
Q4 2028	Systems ex CPO	46.0	46.2%	21.3
Q4 2028	CPO systems reference	28.0	52.5%	14.7
Q1 2029	Foundry logic reference	173.0	55.3%	95.7
Q1 2029	DRAM HBM reference	114.0	55.3%	63.0
Q1 2029	Flash reference	3.0	45.0%	1.4
Q1 2029	Systems ex CPO	46.0	46.5%	21.4
Q1 2029	CPO systems reference	30.0	53.0%	15.9
Q2 2029	Foundry logic reference	176.0	55.6%	97.9
Q2 2029	DRAM HBM reference	117.0	55.6%	65.1
Q2 2029	Flash reference	3.0	45.0%	1.4
Q2 2029	Systems ex CPO	48.0	46.8%	22.4
Q2 2029	CPO systems reference	33.0	53.5%	17.7
Q3 2029	Foundry logic reference	179.0	55.8%	99.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2029	DRAM HBM reference	120.0	55.8%	67.0
Q3 2029	Flash reference	3.0	45.0%	1.4
Q3 2029	Systems ex CPO	48.0	47.0%	22.6
Q3 2029	CPO systems reference	36.0	54.0%	19.4
Q4 2029	Foundry logic reference	182.0	56.0%	101.9
Q4 2029	DRAM HBM reference	123.0	56.0%	68.9
Q4 2029	Flash reference	3.0	45.0%	1.4
Q4 2029	Systems ex CPO	50.0	47.2%	23.6
Q4 2029	CPO systems reference	39.0	54.5%	21.3
Q1 2030	Foundry logic reference	185.0	56.0%	103.6
Q1 2030	DRAM HBM reference	126.0	56.0%	70.6
Q1 2030	Flash reference	3.0	45.0%	1.4
Q1 2030	Systems ex CPO	50.0	47.5%	23.8
Q1 2030	CPO systems reference	42.0	55.0%	23.1
Q2 2030	Foundry logic reference	188.0	56.0%	105.3
Q2 2030	DRAM HBM reference	129.0	56.0%	72.2
Q2 2030	Flash reference	3.0	45.0%	1.4
Q2 2030	Systems ex CPO	52.0	47.8%	24.8
Q2 2030	CPO systems reference	45.0	55.0%	24.8
Q3 2030	Foundry logic reference	191.0	56.0%	107.0
Q3 2030	DRAM HBM reference	132.0	56.0%	73.9
Q3 2030	Flash reference	3.0	45.0%	1.4
Q3 2030	Systems ex CPO	52.0	48.0%	25.0
Q3 2030	CPO systems reference	48.0	55.0%	26.4
Q4 2030	Foundry logic reference	194.0	56.0%	108.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2030	DRAM HBM reference	135.0	56.0%	75.6
Q4 2030	Flash reference	3.0	45.0%	1.4
Q4 2030	Systems ex CPO	54.0	48.0%	25.9
Q4 2030	CPO systems reference	51.0	55.0%	28.1

Operating-cost derivation

Quarter	Cash R and D	Cash SG and A	Recurring SBC total	Acquired intangible amortization	Preproduction startup	Manufacturing ramp reserve
Q3 2026	30.0	33.0	9.0	1.0	7.0	0.0
Q4 2026	31.2	33.8	9.2	1.0	7.0	0.0
Q1 2027	32.4	34.6	9.3	1.0	0.0	6.0
Q2 2027	33.6	35.3	9.4	1.0	0.0	5.0
Q3 2027	34.8	36.1	9.6	1.0	0.0	4.0
Q4 2027	36.0	36.9	9.8	1.0	0.0	3.0
Q1 2028	37.2	37.7	9.9	1.0	0.0	0.0
Q2 2028	38.4	38.5	10.1	1.0	0.0	0.0
Q3 2028	39.6	39.2	10.2	1.0	0.0	0.0
Q4 2028	40.8	40.0	10.3	1.0	0.0	0.0
Q1 2029	42.0	40.8	10.5	1.0	0.0	0.0
Q2 2029	43.2	41.6	10.7	1.0	0.0	0.0
Q3 2029	44.4	42.4	10.8	1.0	0.0	0.0
Q4 2029	45.6	43.1	10.9	1.0	0.0	0.0
Q1 2030	46.8	43.9	11.1	1.0	0.0	0.0
Q2 2030	48.0	44.7	11.2	1.0	0.0	0.0
Q3 2030	49.2	45.5	11.4	1.0	0.0	0.0
Q4 2030	50.4	46.3	11.6	1.0	0.0	0.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	FORM-GPU-SHARE	35%	0.0	0.0	0.0	0.0
Q3 2026	FORM-CPO-ACCEL	40%	0.0	0.0	0.0	0.0
Q3 2026	FORM-REPRICE	25%	0.0	0.0	0.0	0.0
Q3 2026	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q4 2026	FORM-GPU-SHARE	35%	0.0	0.0	0.0	0.0
Q4 2026	FORM-CPO-ACCEL	40%	0.0	0.0	0.0	0.0
Q4 2026	FORM-REPRICE	25%	0.0	0.0	0.0	0.0
Q4 2026	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q1 2027	FORM-GPU-SHARE	35%	10.0	6.0	1.0	1.8
Q1 2027	FORM-CPO-ACCEL	40%	2.0	1.0	0.2	0.3
Q1 2027	FORM-REPRICE	25%	1.6	1.4	0.1	0.3
Q1 2027	FORM-TEXAS-DELAY	20%	-10.0	-5.5	1.0	-1.3
Q2 2027	FORM-GPU-SHARE	35%	14.0	8.4	1.4	2.4
Q2 2027	FORM-CPO-ACCEL	40%	4.0	2.1	0.5	0.6
Q2 2027	FORM-REPRICE	25%	1.7	1.4	0.1	0.3
Q2 2027	FORM-TEXAS-DELAY	20%	-15.0	-8.2	1.0	-1.9
Q3 2027	FORM-GPU-SHARE	35%	17.0	10.2	1.7	3.0
Q3 2027	FORM-CPO-ACCEL	40%	6.0	3.1	0.7	1.0
Q3 2027	FORM-REPRICE	25%	1.7	1.5	0.1	0.3
Q3 2027	FORM-TEXAS-DELAY	20%	-10.0	-5.5	1.0	-1.3
Q4 2027	FORM-GPU-SHARE	35%	19.0	11.4	1.9	3.3
Q4 2027	FORM-CPO-ACCEL	40%	8.0	4.2	1.0	1.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	FORM-REPRICE	25%	1.8	1.5	0.1	0.4
Q4 2027	FORM-TEXAS-DELAY	20%	-5.0	-2.8	1.0	-0.8
Q1 2028	FORM-GPU-SHARE	35%	20.0	12.0	2.0	3.5
Q1 2028	FORM-CPO-ACCEL	40%	8.0	4.2	1.0	1.3
Q1 2028	FORM-REPRICE	25%	1.8	1.5	0.1	0.4
Q1 2028	FORM-TEXAS-DELAY	20%	-8.0	-4.4	0.5	-1.0
Q2 2028	FORM-GPU-SHARE	35%	20.0	12.0	2.0	3.5
Q2 2028	FORM-CPO-ACCEL	40%	9.0	4.7	1.1	1.4
Q2 2028	FORM-REPRICE	25%	1.9	1.6	0.1	0.4
Q2 2028	FORM-TEXAS-DELAY	20%	-6.0	-3.3	0.5	-0.8
Q3 2028	FORM-GPU-SHARE	35%	16.0	9.6	1.6	2.8
Q3 2028	FORM-CPO-ACCEL	40%	9.0	4.7	1.1	1.4
Q3 2028	FORM-REPRICE	25%	1.9	1.6	0.1	0.4
Q3 2028	FORM-TEXAS-DELAY	20%	-4.0	-2.2	0.5	-0.5
Q4 2028	FORM-GPU-SHARE	35%	14.0	8.4	1.4	2.4
Q4 2028	FORM-CPO-ACCEL	40%	9.0	4.7	1.1	1.4
Q4 2028	FORM-REPRICE	25%	2.0	1.7	0.1	0.4
Q4 2028	FORM-TEXAS-DELAY	20%	-2.0	-1.1	0.5	-0.3
Q1 2029	FORM-GPU-SHARE	35%	16.0	9.6	1.6	2.8
Q1 2029	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q1 2029	FORM-REPRICE	25%	2.0	1.7	0.1	0.4

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2029	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q2 2029	FORM-GPU-SHARE	35%	16.0	9.6	1.6	2.8
Q2 2029	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q2 2029	FORM-REPRICE	25%	2.1	1.7	0.1	0.4
Q2 2029	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q3 2029	FORM-GPU-SHARE	35%	14.0	8.4	1.4	2.4
Q3 2029	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q3 2029	FORM-REPRICE	25%	2.1	1.8	0.1	0.4
Q3 2029	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q4 2029	FORM-GPU-SHARE	35%	14.0	8.4	1.4	2.4
Q4 2029	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q4 2029	FORM-REPRICE	25%	2.1	1.8	0.1	0.4
Q4 2029	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q1 2030	FORM-GPU-SHARE	35%	10.0	6.0	1.0	1.8
Q1 2030	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q1 2030	FORM-REPRICE	25%	2.2	1.9	0.1	0.4
Q1 2030	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q2 2030	FORM-GPU-SHARE	35%	10.0	6.0	1.0	1.8
Q2 2030	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q2 2030	FORM-REPRICE	25%	2.2	1.9	0.1	0.4
Q2 2030	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2030	FORM-GPU-SHARE	35%	10.0	6.0	1.0	1.8
Q3 2030	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q3 2030	FORM-REPRICE	25%	2.3	1.9	0.1	0.5
Q3 2030	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0
Q4 2030	FORM-GPU-SHARE	35%	10.0	6.0	1.0	1.8
Q4 2030	FORM-CPO-ACCEL	40%	10.0	5.2	1.2	1.6
Q4 2030	FORM-REPRICE	25%	2.3	2.0	0.1	0.5
Q4 2030	FORM-TEXAS-DELAY	20%	0.0	0.0	0.0	0.0

Claim decisions, overlap and triggers

FORM-GPU-SHARE

probability: 0.35

source: Oct 2 Deutsche Bank channel estimate plus July 29 management confirmed qualification/production

Conditional: Accelerated GPU/custom-ASIC share adds $60 M in 2027, $70 M 2028, $60 M 2029, $40 M 2030 above reference. Bound is 0-$100 M/year incremental, not entire $200 M endpoint.

overlap: Reference F&L includes Q3 2026 production start, legacy networking and a gradual GPU/ASIC ramp. $200 M NVIDIA endpoint is not all new revenue; Q1 2026 NVIDIA 10.2% already existed. Conditional deltas are a residual share-acceleration pool after that overlap.

earnings bridge: 60% incremental gross margin less 10% sales/application/R&D =50% OP contribution. 2027 weighted revenue 21 M and OP 10.5 M. No extra factory-efficiency uplift on this branch.

counter evidence: Incumbent GPU supplier; capacity constrained through Texas 2027; qualification does not set share or price.

FORM-CPO-ACCEL

probability: 0.4

source: May 11 issuer deck pp 27-29 and July 29 call

Conditional: CPO adds 20 M 2027, 35 M 2028, 40 M 2029/30 above separate reference CPO pool; bound 0-60 M annual.

overlap: $10 M Q3 and $12 M Q4 2026 reference already recognizes >$20 M 2026 issuer outlook. Reference reaches $186 M 2030; incremental 40 makes $226 M conditional, 56.5% of management $400 M served market, not $400 M revenue. No double count between probe card F&L and systems optical insertion 1.

earnings bridge: 52% incremental GP less 12% service/application cost =40% OP; weighted 2027 OP 3.2 M.

counter evidence: Management explicitly declined precise 2027 quarterly CPO forecasts; parallelism, yield improvement and relocated test insertions can reduce tools needed.

FORM-REPRICE

probability: 0.25

source: July 29 capacity constraints and April 29 customer performance-value compensation; Rule 16b scenario

Conditional: 2% premium on 35% of reference F&L+DRAM new/repriceable business from 2027; reasonable bound 0-3%; no legacy fixed-price backlog repricing.

overlap: Reference margins already contain volume/yield/cycle-time improvement. This branch only prices non-overlapping order terms and charges 15% incremental costs in COGS plus 5% selling/support.

earnings bridge: Expected revenue=reference eligible pool*2%*25%; expected OP=that*80%.

counter evidence: CEO explicitly said pricing was not a major factor in Q1 margin improvement; customer bargaining and lead-time normalization limit the premium.

FORM-TEXAS-DELAY

probability: 0.2

source: May 11 capacity timeline and July 29 ramp call

Conditional: One-to-two-quarter qualification/ramp slippage; 2027 revenue loss 40 M, 2028 loss 20 M; no permanent terminal share loss assumed.

overlap: Reference already incurs $18 M 2027 manufacturing ramp cost and lower GM than 2030. The branch represents additional delay only.

earnings bridge: 55% lost GP plus 4 M additional 2027 support/rework, 2 M 2028; weighted 2027 OP-5.2 M.

counter evidence: On-time issuer execution to July and modular ramp capex support the reference.

Remaining bounded uncertainties

- Confirmed manufacturing good-unit output, yields and paid GPU share by customer remain undisclosed.
- CPO ASP, test time and tool throughput are private; market share is a bounded proxy.
- The latest two call records contain transcription errors; source values were checked against issuer releases and decks.

- Historical OP basis was unspecified; current active 20 x method explicitly capitalizes normalized OP after SBC, D&A and startup costs.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2_release | 2026-07-29

https://investors.formfactor.com/static-files/72a3c38a-87c8-43cd-8029-562c01021f45

Archived source SHA-256: 398c1681d2a0a6dd15a14286fd7de459268de7c36d555c4c743ca139160db775

[2] Q2_supplement | 2026-07-29

https://investors.formfactor.com/static-files/855b6a03-72f0-46b0-a64e-e29aebf2651c

Archived source SHA-256: 2a1046ef85dcf930fe70957c640d603c70716d8dbf96bf4b562bd54482a9e5fb

[3] Q1_10Q | 2026-05-05

https://investors.formfactor.com/static-files/188d5157-665e-49e8-9dcd-eed0f1e7c5c4

Archived source SHA-256: 10449a39a501930291a81bfbd38e7de8f008d766144d9ea67454a1191b022d0e

[4] Keystone_Microtech_partnership | 2026-07-28

https://investors.formfactor.com/news-releases/news-release-details/formfactor-and-keystone-microtech-announce-strategic-partnership

Archived source SHA-256: 0f019323bade26719cdc17039d4125744bf5791aa4d41d29824862e8604139cb

[5] IR_September_page | 2026-09-10

https://investors.formfactor.com/events-and-presentations

Archived source SHA-256: 973343523c998a5d86600e7cd6fa0ff779774483fdb28cee75a814afb77b9e19

[6] IR_September_1 | 2026-05-11

https://investors.formfactor.com/static-files/7b73e4f8-4b3f-4ac6-8ced-b74f0d630556

Archived source SHA-256: 888ce4edd7a44d9f04375e96a80360ff19be42403f540ef5bd3226863d71d2a8

[7] Investor_day_page | 2026-05-11

https://investors.formfactor.com/events/event-details/formfactor-inc-investor-day/

Archived source SHA-256: 18930ee67860863d846445eafa246f43d9e03f4d9636f59436bf59c534f28fb1

[8] Investor_day_1 | 2026-05-11

https://investors.formfactor.com/static-files/29f1154b-e1e4-4b57-afbd-f296b3f36504

Archived source SHA-256: 888ce4edd7a44d9f04375e96a80360ff19be42403f540ef5bd3226863d71d2a8

[9] Q1_event_page | 2026-04-29

https://investors.formfactor.com/events/event-details/formfactor-inc-first-quarter-2026-financial-results/

Archived source SHA-256: fa039448f2365dc52772617cbefb3be85ea5fd40cf814bb1305a27a0b7cdc0a1

[10] Q1_event_1 | 2026-04-29

https://investors.formfactor.com/static-files/599ca1f9-f7ee-4701-b044-ec37752aba20

Archived source SHA-256: 09fde22652509418ae461ed8d128471b167018fad1eca562feda06ed4b87f478

[11] Q1_event_2 | 2026-04-29

https://investors.formfactor.com/static-files/b97c313e-f460-43a8-8e33-d3a2b1f2c396

Archived source SHA-256: cbba640d2cdda932faf70d46048d8aa16308a2fed20c951ca05641a72c19aa84

[12] Q1_event_3 | 2026-04-29

https://investors.formfactor.com/static-files/7f524069-6dfe-466b-9cbe-9548f985ab73

Archived source SHA-256: 9fb31e6aa89dcbf8bc1ef86b2d685f2283a986eb00c3c4992c898dd0ea9b6b6a

[13] Primary source | 2026-08-04

https://investors.formfactor.com/static-files/f9a28903-60c8-4092-ad52-4f83952d50fd

Archived source SHA-256: b33a84694900b1ed843a180aa6c0f3899df1bee8402c4deda5587875b06a45c2

[14] Primary source | 2026-02-20

https://investors.formfactor.com/static-files/f903ad72-0783-4e11-bdcc-cfae526f1f96

Archived source SHA-256: df98e6be4d7d1afadd5dd7e5494e3f8356bbb0d9a23951a1f3026511d7dfdad6

[15] Primary source | 2026-07-29

https://stockanalysis.com/stocks/form/transcripts/657372-q2-2026/

Archived source SHA-256: a98b21371cec65c191c84493bca1da565672e1076fd59cff88ce9df840bb1ad2

[16] Management spoken record, vendor-hosted; original issuer webcast accessible fromQ1event | 2026-04-29

https://www.roic.ai/quote/FORM:US/transcripts/2026-year/1-quarter

[17] S&P sourced market close only; no analyst valuation used | 2026-10-06

https://stockanalysis.com/stocks/form/history/

[18] Attributed bank channel check, notguidance | 2026-10-02

Model formulas and equity bridge: 20 x forward-four-quarter normalized operating profit divided by diluted shares at valuation quarter Revenue, gross margins, costs, conditional deltas, financing and share inputs are shown above. The workbook links the active ceiling to the same saved model.

[FORM-19] Joint issuer release, October 12,2026 at 16:01 EDT. FormFactor and Teradyne strategic collaboration. The full 65-line issuer page was read through a supported link from the issuer IR page after direct URL reading failed. Both the successful original read and the failure record are preserved locally. No source-authored transaction diagram or standalone financial table was supplied.